

McKinsey's Transfer Pricing Policies in France

A Criminal Investigation and a EUR 200 Million Transfer Pricing Reassessment?

Summary

On 4 September 2026, France's National Financial Prosecutor's Office (*Parquet National Financier* or "PNF") announced the provisional seizure of EUR 65.2 million in connection with its investigation into McKinsey & Company ("McKinsey") in France¹. The investigation, opened in March 2022 for aggravated laundering of the proceeds of tax fraud, followed a Senate inquiry which found that McKinsey's two principal French entities had paid no corporate income tax between 2011 and 2020 and linked that outcome to intra-group charges paid to the US parent. McKinsey previously disputed any wrongdoing². This note sets out the facts as publicly reported, explains how a criminal investigation can proceed alongside an administrative tax audit, and examines - as a working hypothesis - the transfer-pricing and economic-ownership questions that could arise from the reported charges.

The News

On 4 September 2026, France's *Parquet National Financier* ("PNF") announced that it had secured a provisional seizure of approximately EUR 65.2 million in connection with a preliminary investigation for aggravated laundering of the proceeds of tax fraud relating to McKinsey & Company ("McKinsey") operations in France³.

The seizure was executed on 19 August 2026, through the Brussels public prosecutor's office. McKinsey described the measure as procedural rather than a determination on the merits and stated that it was cooperating with the authorities⁴. No charging decision has been publicly reported.

¹ Agence France-Presse, "Le PNF fait saisir 65 M€ dans l'enquête pour fraude fiscale contre McKinsey," 4 September 2026; Financial Times, "Prosecutors seize €65mn from McKinsey in French tax fraud probe," 4 September 2026.

² Sénat, Rapport n° 578 (2021 - 2022), tome I, section D, tabled 16 March 2022; McKinsey France, statement of 25 March 2022.

³ Agence France-Presse, "Le PNF fait saisir 65 M€ dans l'enquête pour fraude fiscale contre McKinsey," 4 September 2026.

⁴ McKinsey statement quoted by Agence France-Presse, 4 September 2026.

The latest step of a long story

As one might expect, McKinsey has been a politically sensitive taxpayer in France since the broader controversy dubbed "*l'Affaire McKinsey*" (or "McKinseyGate") by the French press, concerning the firm's practices in France and its ties to the French government, particularly the Macron administration. As a political and media phenomenon, the affair began with press revelations in January 2021 and continued through a Senate committee of inquiry, whose report was tabled on 16 March 2022⁵.

Separate judicial investigations by the PNF regarding McKinsey in France also concern the conditions in which consulting firms intervened in presidential campaigns and possible favouritism. Those matters are distinct from the investigation into aggravated laundering of the proceeds of tax fraud that led to the provisional seizure discussed here⁶.

Sizing the alleged tax damage

Little is publicly known about the underlying arrangements, but the following can be established from public sources:

- **Legal Structure:** The Senate inquiry examined two principal McKinsey entities registered in France: McKinsey & Company SAS and McKinsey & Company Inc. France⁷. The latter is the French branch of the US enterprise, which McKinsey described to the Senate as being based in Delaware⁸.
- **Tax Payment:** The Senate reported that those two principal entities paid no corporate income tax between 2011 and 2020, despite French revenue of EUR 329 million in 2020⁹.
- **Alleged Mechanism:** McKinsey's French entities made payments to the US parent for shared costs including general administration, use of the brand, internal network assistance and personnel. Those charges were allegedly large enough to contribute to a nil or negative French taxable result¹⁰.
- **Amount:** The EUR 65.2 million provisionally seized was reported to represent 96% of the alleged tax loss, implying a total of approximately EUR 68 million¹¹.

Beyond these points, public sources do not disclose the PNF's methodology. They do not establish whether the approximately EUR 68 million figure matches an administrative reassessment by the

⁵ Le Monde, "Quelles suites depuis la polémique autour des cabinets de conseil?", 18 October 2022 (noting that Politico's January 2021 reporting on McKinsey's role in the French vaccination strategy was the first in a series of press revelations); Sénat, Rapport n° 578 (2021 - 2022), tome I, tabled 16 March 2022.

⁶ Agence France-Presse, 4 September 2026 (distinguishing the investigation into aggravated laundering of the proceeds of tax fraud from the campaign-finance and favouritism investigations).

⁷ Sénat, Rapport n° 578 (2021 - 2022), tome I, section D, <https://www.senat.fr/rap/r21-578-1/r21-578-121.html>.

⁸ Sénat, hearing of McKinsey representatives, 18 January 2022, <https://www.senat.fr/rap/r21-578-2/r21-578-20.html>.

⁹ Please note that McKinsey stated that all its French entities were subject to corporate income tax, that an implementation subsidiary paid it in six of those years, and that the group paid more than EUR 422 million in taxes and social charges over the period. Sénat, Rapport n° 578 (2021 - 2022), tome I, section D; McKinsey France, statement of 25 March 2022.

¹⁰ Sénat, Rapport n° 578 (2021 - 2022), tome I, section D, <https://www.senat.fr/rap/r21-578-1/r21-578-121.html>. The Senate's description is specific to the McKinsey documents it reviewed; it is not a final judicial determination.

¹¹ Agence France-Presse, 4 September 2026. The 96% figure was attributed to a joint statement by the French and Belgian authorities.

tax authorities, which entities and years it covers, or whether it includes interest and penalties.

A limited sensitivity calculation is nevertheless possible. If the EUR 68 million figure represented corporate income tax alone, applying an illustrative effective tax rate of approximately 33 - 38%¹² would correspond arithmetically to an aggregate taxable-profit adjustment in the order of EUR 180 - 205 million. Furthermore, for the sake of discussion, if we were to assume that French revenue remained at its reported 2020 level of EUR 329 million throughout the ten-year period, that hypothetical adjustment would therefore represent approximately 5 - 7% of assumed cumulative revenue.

Why the French PNF matters - and why this is not simply a tax audit

The PNF is not part of the French tax administration. Created in 2013 after the Cahuzac affair¹³, it is a specialised public prosecutor's office with jurisdiction over particularly complex financial offences, including tax fraud and the laundering of its proceeds¹⁴.

- An ordinary transfer-pricing audit is administrative. The tax administration may reassess taxable profits, interest and penalties; the taxpayer may then challenge that assessment before the tax courts under domestic tax law and applicable tax treaties.
- A PNF investigation is criminal. It may involve searches, interviews, international judicial cooperation and provisional asset seizures. Criminal liability may concern legal entities and, depending on the evidence, natural persons. Opening an investigation is not a finding of guilt.

Since the 2018 anti-fraud reform, the procedural route for tax-fraud cases depends on the circumstances. The traditional complaint mechanism involving the tax administration and, where applicable, the *Commission des infractions fiscales* - the so-called "Bercy lock"¹⁵ - now coexists with mandatory reporting to the public prosecutor for certain serious cases. In particular, the tax administration must report cases involving more than EUR 100,000 of reassessed tax where a 100% or 80% penalty is applied, or a 40% penalty in the event of a qualifying repeat offence during the preceding six calendar years¹⁶.

Laundering the proceeds of tax fraud - the qualification adopted by the PNF here - follows a different procedural route. In 2008, the Cour de cassation held that prosecution for that autonomous offence was not subject to the prior-complaint requirement applicable to tax fraud itself¹⁷. Accordingly, a

¹² The 33 - 38% range is illustrative rather than a reconstruction of McKinsey's actual annual effective tax rate. France's normal corporate income tax rate was 33 1/3% before the phased reduction; additional social and exceptional contributions could bring the headline rate for large companies to approximately 38% in certain years, while the normal rate was subsequently reduced (including to 31% in 2019 and 28% in 2020). BOFiP, BOI-IS-LIQ-10-20170301 and BOI-IS-LIQ-10-20180801; Sénat, *Projet de loi de finances pour 2017, rapport général*, tome II, section on corporate income tax and additional contributions, https://www.senat.fr/rap/l16-140-211/l16-140-211_mono.html.

¹³ The affair was named after Jérôme Cahuzac, then Minister Delegate for the Budget, who resigned in 2013 after admitting that he had held an undeclared foreign bank account. *Vie-publique.fr*, report on transparency in public life, <https://www.vie-publique.fr/files/rapport/pdf/164000099.pdf>.

¹⁴ Tribunal judiciaire de Paris, "Présentation du PNF"; French Code of Criminal Procedure, Article 705.

¹⁵ "Bercy", the Paris district where the Ministry of the Economy and Finance is headquartered, is commonly used as a metonym for the Ministry.

¹⁶ French Tax Procedure Code, Article L. 228, which distinguishes mandatory reporting to the public prosecutor from complaints initiated by the tax administration; BOFiP, BOI-CF-INF-40-10-10-15, §§ 1 - 110, <https://bofip.impots.gouv.fr/bofip/11715-PGP.html>; *Vie-publique.fr*, "Qu'appelle-t-on le verrou de Bercy?", updated 20 May 2024, <https://www.vie-publique.fr/fiches/24152-quappelle-t-le-verrou-de-bercy>.

¹⁷ Cour de cassation, Criminal Chamber, 20 February 2008, No. 07-82.977.

prosecutor may investigate suspected laundering while the tax administration's audit or reassessment process proceeds separately. A laundering offence nevertheless requires a distinct material act: either facilitating a false justification of the origin of the proceeds or assisting an operation involving their placement, concealment or conversion. It is not established merely by a transfer-pricing adjustment¹⁸.

The office's tax-related track record gives this distinction practical weight. It has concluded CJIPs¹⁹ in major tax-related matters involving, among others, HSBC Private Bank (Suisse) (EUR 300 million, 2017), Google (a EUR 500 million CJIP in 2019, alongside a separate EUR 465 million tax settlement)²⁰ and McDonald's (a EUR 508.5 million CJIP fine in 2022, bringing the combined tax and criminal settlement to EUR 1.245 billion)²¹.

The McKinsey case therefore illustrates a potential - but not automatic - criminal escalation path. A disagreement over the arm's-length character of intra-group payments remains, in the first instance, a tax matter. Criminal exposure requires evidence of intentional tax fraud and, for laundering, of distinct laundering acts.

Analysis: The DEMPE question

The analysis now enters more speculative territory. As already noted, the publicly available facts are scarce. Nevertheless, practitioners will recognise the general type of arrangement described by the Senate. In multinational consulting groups, charges may reflect access to a global brand and network, as well as to firm-wide know-how and professional standards.

In McKinsey's case, as in other French cases involving global professional-services firms, one recurring question is the extent and nature of the US enterprise's contribution to value creation. Viewed through a DEMPE lens, that contribution could include the value of the pre-existing global platform developed in the United States before McKinsey began operating in France in 1964²²: the McKinsey name, its established track record, professional model and standards. Together, these elements may have generated reputational and first-mover advantages relevant as economic circumstances or comparability factors.

18 French Criminal Code, Article 324-1, https://www.legifrance.gouv.fr/codes/article_lc/LEGIARTI000006418331.

19 A convention judiciaire d'intérêt public (CJIP) is a French settlement mechanism broadly comparable to a deferred prosecution agreement. It allows a legal person to resolve certain offences without a criminal conviction, subject to judicial validation. French Code of Criminal Procedure, Article 41-1-2; Ministry of Justice, "Conventions judiciaires d'intérêt public", <https://www.justice.gouv.fr/documentation/ressources/conventions-judiciaires-dinteret-public>.

20 Parquet national financier, press release on the first French CJIP with HSBC Private Bank (Suisse), 14 November 2017, <https://www.tribunal-de-paris.justice.fr/sites/default/files/2022-07/CP%20PNF%20HSBC%2014%20novembre%202017.pdf>; Parquet national financier, press release on the Google CJIP, 12 September 2019, <https://www.tribunal-de-paris.justice.fr/sites/default/files/2021-07/Communiqu%C3%A9%20de%20presse%20PNF%20CJIP%20Google%2012%20septembre%202019.pdf>; DGFIP, 2019 report to Parliament, https://www.impots.gouv.fr/sites/default/files/media/3_Documentation/rapports_gracieux/rapport_parlement_gracieux_2019.pdf.

21 Parquet national financier, press release, "CJIP MC DONALD'S", 16 June 2022: public-interest fine of EUR 508,482,964 and total amount, including the tax settlement, of EUR 1,245,624,269, <https://www.tribunal-de-paris.justice.fr/sites/default/files/2022-06/CP%20CJIP%20MC%20DONALD%27S%2016%20JUN%202022.pdf>.

22 Amar V. Bhidé, *Building the Professional Firm: McKinsey & Co.: 1939 - 1968*, Harvard Business School working paper 95-010, p. 16 (Paris office opened in September 1964), https://www.hbs.edu/ris/Publication%20Files/95-010_a0b1e5db-f200-470a-aa97-7f38c7b10986.pdf.

When considering the historical foundations of those intangibles, those familiar with McKinsey lore will inevitably think of Marvin Bower, the man widely credited with shaping the firm's professional identity and "one firm" model. His internally published book *Perspective on McKinsey* provides a historical account of the principles on which the firm's culture was built²³.

Finally, the analysis may also be complicated to the extent that the arrangements involve the French branch of the US enterprise. In that case, the relevant issue would be the attribution of profits to a permanent establishment under Article 7 of the France-US tax treaty, rather than the pricing of transactions between separate associated enterprises under Article 9.

Conclusion

The public record does not permit any definitive conclusion as to the precise transfer-pricing issues under examination or the positions adopted by the parties. It does, however, illustrate the increasing scrutiny applied by French authorities to cross-border arrangements where substantial activities in France coexist with limited reported taxable profits.

The underlying questions are likely to remain familiar: what the reported charges or internal allocations represented, what benefits the French operations received, where the relevant functions were performed, assets were used, risks were controlled and value was created, and whether the profits attributed to France were consistent with the arm's-length principle. The involvement of the PNF materially raises the procedural and financial stakes, but it does not displace that underlying transfer-pricing analysis.

²³ McKinsey & Company, "Our purpose, mission, and values" and "History of our firm," <https://www.mckinsey.com/about-us/overview/our-purpose-mission-and-values> and <https://www.mckinsey.com/about-us/overview/history-of-our-firm>; Marvin Bower, *Perspective on McKinsey* (1979).